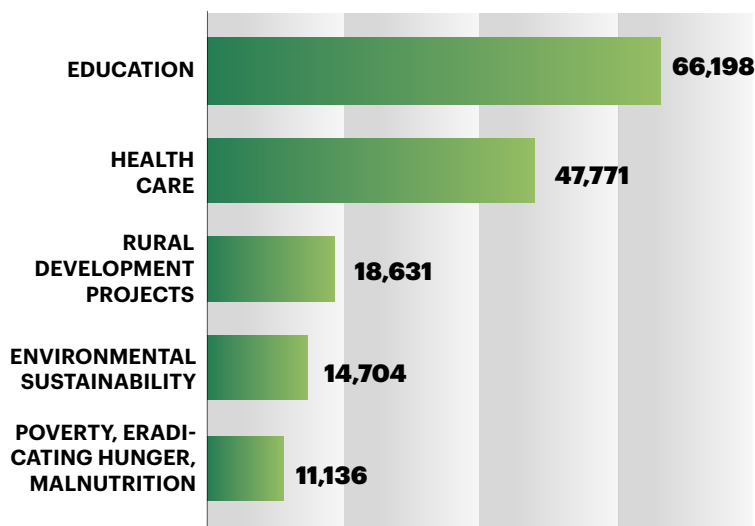


WHERE INDIA GIVES

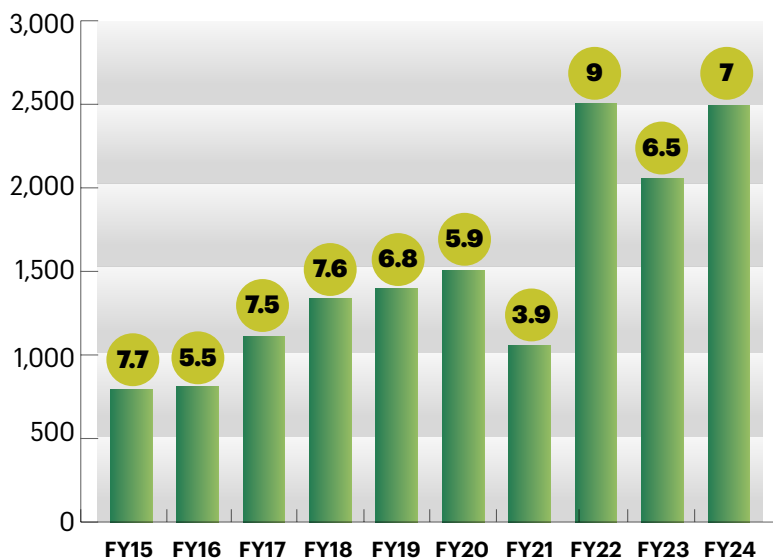
● Top five sectoral CSR spends by India Inc between FY15-FY25



IN ₹CR; SOURCE NATIONAL CSR PORTAL

GROWING, NOT KEEPING UP

● Environmental CSR spending has risen steadily, yet it still accounts for roughly the same as it did a decade ago



■ CSR SPEND FOR ENVIRONMENTAL SUSTAINABILITY (₹ CRORE)

● SHARE IN TOTAL CSR SPEND (%)

SOURCE NATIONAL CSR PORTAL

MANDATE SAYS SPEND, NOT GIVE BACK

The CSR law requires eligible companies to spend 2% of profits on social responsibility activities. But it does not require companies to spend on repairing the environmental consequences of their own operations.

To elucidate, a mining company can spend its entire CSR budget on education. A manufacturing company dependent on groundwater can direct most of its CSR spending towards healthcare or rural development. A power company can remain fully compliant without meaningfully investing in ecological restoration.

The result is predictable: companies gravitate toward CSR categories that generate visible and immediate outcomes.

Schools can be inaugurated quickly. Hospitals demonstrate instant beneficiary numbers. Skill-development programmes produce measurable outreach. These projects fit naturally into annual reports, board presentations, and public communication. However, environmental restoration does not work that way.

“A significant reason companies prefer spending on education or healthcare is because the impact is immediately visible,” says Sai Priyanka Sajja, Co-Founder, Artha Samarth Consultancy LLP. “Building schools or supporting hospitals creates tangible outcomes that companies can easily communicate. Environmental sustainability projects are slower, and their impact takes years to become visible.”

That time lag creates a structural disadvantage for environmental CSR.

Groundwater recharges take years. River rejuvenation requires sustained intervention. Similarly, biodiversity restoration may become visible only over decades. Even afforestation projects produce meaningful ecological outcomes gradually as ecosystems mature.

For instance, Mahindra’s Project